



Iron and Steel Act 1981

1981 CHAPTER 46

An Act to modify the functions of the British Steel Corporation; to make further provision with respect to the finances of the Corporation and the publicly-owned companies; to remove from the Secretary of State the duty to lay before Parliament certain statements about members of the Corporation; and for connected purposes. [27th July 1981]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Functions of British Steel Corporation and of publicly-owned companies and their organisation

1.—(1) The Iron and Steel Act 1975 shall have effect subject to the amendments specified in this section (which are designed to remove the general duties of the Corporation and modify their powers). Modification of Corporation's functions.
1975 c. 64.

(2) Section 2 (which imposes on the Corporation a general duty to secure that the demand for iron and steel products is met by the Corporation and the publicly-owned companies and other related duties) shall cease to have effect.

(3) In section 3 (which confers on the Corporation their powers to carry on iron and steel activities and sell iron and steel products and carry on certain other activities) the following amendments shall be made—

- (a) in subsection (1)(a), there shall be inserted after the words "carry on" the words "or promote the carrying on of", after the word "sell" the words "or pro-

mote the sale of” and after the word “products” the words “(whether within or outside the United Kingdom)”;

- (b) in subsection (1)(b), after the words “carry on” (where those words first occur) there shall be inserted the words “or promote the carrying on of” and at the end there shall be added the words “or to sell or promote the sale of the products of any activities authorised by this paragraph (whether within or outside the United Kingdom)”;
- (c) at the end of subsection (1), there shall be added the words “and may, instead of themselves carrying on any iron and steel or other activities, promote the carrying on of any of those activities to such extent as they think fit by other persons none of whom need be a publicly-owned company”;
- (d) for subsections (2) and (3) there shall be substituted the following subsection—
 - “(1A) The Corporation shall not—
 - (a) acquire by agreement interests in companies or hold interests so acquired, or
 - (b) form, or take part in forming, companies, except with the consent of, or in accordance with the terms of any general authority given by, the Secretary of State.”; and
- (e) in subsection (5), for the words from “calculated” to the end there shall be substituted the words “incidental or conducive to the exercise of their powers under the foregoing provisions of this section.”

1976 c. 41.

(4) The 1975 Act and the Iron and Steel (Amendment) Act 1976 shall have effect subject to the further amendments specified in Schedule 1 to this Act (being amendments related to or consequential on those contained in this section).

Organisation
of the
Corporation's
activities.

2.—(1) In the 1975 Act, after section 4, there shall be inserted the following section—

“Organisation
of the
Corpora-
tion's
activities.

4A—(1) It shall be the duty of the Corporation so to exercise their powers as to secure that the carrying on of the activities that have fallen to be carried on under their ultimate control is organised, so far as regards the direction thereof, in the most efficient manner.

(2) The Corporation shall not make, or permit to be made, any substantial change in the manner in which the carrying on of the activities that have fallen

to be carried on under their ultimate control is organised, so far as regards the direction thereof, except with the consent of the Secretary of State.

(3) In carrying out any measure of reorganisation or any work of development which involves substantial outlay on capital account, and in securing the carrying out by any publicly-owned companies of any such measure or work, the Corporation shall act in accordance with a general programme settled from time to time with the approval of the Secretary of State.

(4) Without prejudice to subsection (1) of section 4 of this Act or subsection (3) above but subject as provided in subsection (5) below, the Secretary of State may, after consultation with the Corporation, by order, give to the Corporation directions—

- (a) to discontinue or restrict any of their activities or to dispose of any of their property, rights, liabilities and obligations ;
or
- (b) to secure the discontinuance or restriction of any of the activities of a publicly-owned company or the disposal of all or any of its property, rights, liabilities and obligations, or the winding up of any such company ;

and the Corporation shall give effect to any directions so given.

(5) The Secretary of State shall not give any direction under subsection (4) above unless he is satisfied that the giving of it will further the public interest.

(6) Subject to subsection (7) below, any direction under subsection (4) above to dispose or secure the disposal of property, rights, liabilities or obligations may in particular include a direction—

- (a) to form a company for the purpose of acquiring the property or rights and assuming the liabilities or obligations to be transferred in pursuance of the direction ;
- (b) prohibiting, except with the consent of the Secretary of State, the disposal to, or acquisition from any person by, any company which will acquire property or rights in

pursuance of the direction of assets used or capable of use in the production of products of a description, or of products other than products of a description, specified in the direction.

(7) The powers to direct the formation of a company and to restrict the disposal or acquisition of assets are exercisable subject to the following further limitations, that is to say—

(a) no company shall be directed to be formed otherwise than as a publicly-owned company ; and

(b) no such restriction shall be imposed except on a company which is, or when formed will be, in public ownership or be binding after it ceases to be in public ownership ;

(8) So long as a restriction on the disposal or acquisition of assets is binding on the Corporation or a publicly-owned company the provisions of this Act relating to the capacity of the Corporation or the publicly-owned company shall have effect subject to the restriction.”

(2) In section 4 of the 1975 Act (general powers of the Secretary of State in relation to the Corporation) the following provisions shall be omitted, that is to say—

(a) subsection (2) (power to give directions about organisation) ;

(b) subsections (3) and (4) (which are re-enacted as subsections (2) and (3) of the section 4A inserted by subsection (1) above) ;

(c) subsection (5) (which is re-enacted with modifications in subsection (4) of that section) ; and

(d) subsection (6) (no direction to prejudice discharge of Corporation's duties).

(3) In section 5 of the 1975 Act (which imposes on the Corporation duties to review their affairs and report to the Secretary of State)—

(a) subsections (1) and (2) (Corporation to review and, after consultations, report on their organisation) shall be omitted ;

(b) after subsection (5) there shall be inserted the following subsections—

“(5A) Except as provided in subsection (5B) below, the report made under subsection (4) above for any year shall set out any consent given by the

Secretary of State to the Corporation during that year under section 4A(2) of this Act and shall include a general account of the changes in organisation made during that year by virtue of any consent of his given in that or in any earlier year under that subsection.

(5B) Paragraphs (a) and (b) of subsection (5) above shall apply in relation to any consent given during the year by the Secretary of State as they apply in relation to any direction given by him and, in relation to changes in organisation made during the year, shall so apply except to such extent as the Secretary of State agrees."

(4) Section 13 of the 1975 Act shall have effect with the substitution, in subsection (2) (exemption from stamp duty where chargeable transaction is due to directions etc.), for paragraphs (a) and (b), of the following paragraphs—

" (a) for the purpose of giving effect to a direction given by the Secretary of State under section 4A(4) of this Act ;
or

(b) for the purpose of making a change in organisation for which the Secretary of State has given his consent under section 4A(2) of this Act ; or

(c) for purposes that include either of those purposes ; "

(5) In section 36 of the 1975 Act (supplementary provisions about orders and regulations) in subsections (2) and (5), for the figures " 4(5) " there shall be substituted the figures " 4A(4) ".

(6) Paragraph 2 of Schedule 4 to the 1975 Act (duty to make regulations providing compensation to employees of certain nationalised companies or of the former Iron and Steel Board) shall cease to have effect but without prejudice to the continuance in force of the regulations made or having effect as if made under that paragraph.

Financial reconstruction of Corporation

3.—(1) The liability of the Corporation in respect of—

(a) the principal of money borrowed by the Corporation from the Secretary of State under section 16(2) of the 1975 Act or section 19(2) of the Iron and Steel Act 1967 (long term borrowing) ; and

Extinguishment of certain long term loans.
1967 c. 17.

(b) interest thereon which accrued before the end of the financial year 1980-81 other than interest which became payable before that time,

shall be treated as having been extinguished at the end of that financial year and the assets of the National Loans Fund shall be reduced accordingly.

(2) Subsections (5) and (6) of section 17 of the 1975 Act (power of Secretary of State to release Corporation from liability to repay long term borrowings under the said section 19(2)) shall cease to have effect in consequence of subsection (1) above.

Reduction
of certain
government
investment.

4.—(1) The sums paid before the end of the financial year 1980-81 under section 18(1) of the 1975 Act (under which the Secretary of State may with Treasury approval pay the Corporation such sums as he thinks fit) shall be treated as having been reduced at the end of that financial year by £3,000 million.

(2) Any entitlement of the Secretary of State and any liability of the Corporation in respect of those sums shall be treated as reduced accordingly.

(3) If the Secretary of State so provides by order made by statutory instrument, the sums paid under section 18(1) (whatever the date of payment) shall be treated as further reduced by the sum specified in the order.

(4) On the order coming into force, any entitlement of the Secretary of State and any liability of the Corporation in respect of those sums shall be correspondingly reduced.

(5) The sum specified in an order under subsection (3) above shall not exceed £1,000 million and, if more than one such order is made, the aggregate of the sums specified in them shall not exceed £1,000 million.

(6) No order shall be made under subsection (3) above so as to come into force after the end of 1982.

(7) No order shall be made under subsection (3) above unless a draft of the order has been laid before, and approved by a resolution of, the House of Commons.

Alteration of
borrowing and
investment
limits.

5. The following subsections shall be substituted for subsection (2) of section 19 of the 1975 Act (limit on aggregate of money borrowed by Corporation and publicly-owned companies and of money invested in Corporation by Secretary of State):—

“(2) The said limit is £3,500 million or such other sum as the Secretary of State may specify by order made with the consent of the Treasury.

(3) The specified sum may be greater than the one it replaces, but shall not exceed £4,500 million.

(4) Where an order is made so as to come into force before the end of 1982, the specified sum may be less than the one it replaces but shall not be less than £2,500 million.”

Miscellaneous

6. The following provisions of the 1975 Act shall cease to have effect:—
- (a) in section 1, subsection (6) (after appointing member of Corporation, Secretary of State to lay before Parliament a statement of term of appointment); and
 - (b) in Schedule 1, paragraph 8 (Secretary of State to lay before Parliament a statement of certain determinations about remuneration etc. of Corporation's members).
- 7.—(1) This Act may be cited as the Iron and Steel Act 1981.
- (2) In this Act—
- “the Corporation” means the British Steel Corporation;
 - “financial year 1980-81” means the financial year of the Corporation ending in 1981 (that is, on 28th March 1981); and
 - “the 1975 Act” means the Iron and Steel Act 1975.
- (3) The enactments specified in Schedule 2 to this Act (which include a spent enactment) are hereby repealed to the extent specified in the third column of that Schedule.
- (4) This Act does not extend to Northern Ireland; but this provision shall not be taken to prejudice the capacity of the Corporation under section 3 of the 1975 Act.

Corporation's members' terms of appointment, etc: no need for statements to be laid before Parliament.

Short title, interpretation, repeals and extent.

1975 c. 64.

SCHEDULES

Section 1(4).

SCHEDULE 1

RELATED AND CONSEQUENTIAL AMENDMENTS

The Iron and Steel Act 1975 (c. 64)

1.—(1) In the following provisions of the 1975 Act (which imply the continued existence of publicly-owned companies), for the word “the”, wherever it occurs in juxtaposition with the words “publicly-owned companies” or “companies”, there shall be substituted the word “any”, that is to say, in sections 5(3) and (6) and 18(4) and in paragraphs 2(1) and 3(1) of Schedule 2.

(2) In section 7(1) and (2), immediately before the words “publicly-owned companies”, wherever those words occur, there shall be inserted the word “any”.

2. In section 3(4) of the 1975 Act (Corporation's power to provide common services and to treat themselves as included amongst the publicly-owned companies) the words from “(whether” to “or both)” shall be omitted and for the words “amongst the publicly-owned companies” there shall be substituted the words “in the group”.

3. In section 4(1) of the 1975 Act (Secretary of State's power to give directions as to exercise and performance of Corporation's functions) the words “and performance” shall be omitted and for the word “functions” there shall be substituted the word “powers”.

4. Section 6 of the 1975 Act (Corporation's duty to publish prices normally charged by them for iron and steel products etc.) shall be omitted.

5. Section 11 of the 1975 Act shall be amended as follows—

- (a) in subsection (1) (publicly-owned company not to acquire interests in a company without the Secretary of State's consent), after the word “acquire” there shall be inserted the words “by agreement”; and
- (b) in subsection (4) (Corporation to keep list of companies which are publicly-owned and of Corporation's subsidiaries), for the words from “which are” to “subsidiaries of the Corporation” there shall be substituted the words “in which shares are for the time being held by the Corporation”.

6.—(1) In section 14(1) and (2) and section 15(3) of the 1975 Act (finances of Corporation and publicly-owned companies), for the words “the publicly-owned companies” there shall be substituted the words “their subsidiaries”.

(2) In section 16(1), (2) and (4) of the 1975 Act (borrowing powers), for the words "publicly-owned company", wherever those words occur, there shall be substituted the words "subsidiary of theirs".

7. In section 14(3) of the 1975 Act (which implies the continued existence of the publicly-owned companies), after the word "Corporation" (where it occurs first) there shall be inserted the words "the revenues of the Corporation or (where any companies are in public ownership)", after the word "exceed" there shall be inserted the words "their charges or (as the case may be)" and, after the words "purposes of the Corporation", there shall be inserted the words "or (as the case may be) of the Corporation".

8. Section 24 of the 1975 Act (accounts of Corporation and publicly-owned companies) shall be amended as follows—

- (a) in subsection (1)(c), for the words after "Corporation" there shall be substituted the words "and such companies as were in public ownership during any part of the year"; and
- (b) in subsection (4), after the words "accounts of the Corporation" there shall be inserted the words "for a financial year" and in paragraph (b), for the words "each of the publicly-owned companies" there shall be substituted the words "such companies as were in public ownership during any part of the year".

The Iron and Steel (Amendment) Act 1976 (c. 41)

9. In section 4(2) of the Iron and Steel (Amendment) Act 1976 1976 c. 41. (Corporation's power to lend to a publicly-owned company) for the words "publicly-owned company" there shall be substituted the words "subsidiary of theirs".

Section 7(3).

SCHEDULE 2

ENACTMENTS REPEALED

Chapter	Short title	Extent of repeal
1975 c. 64.	The Iron and Steel Act 1975.	In section 1, subsection (6). Section 2. In section 3(4) the words from “(whether” to “or both)”. In section 4, in subsection (1) the words “and performance” and subsections (2) to (6). In section 5, subsections (1) and (2) and, in subsection (7), the words “(1) or”. Section 6. In section 17, subsections (5) and (6). In section 36, in subsection (2) the figures “6(3)”, in subsection (3) the words from “and no regulations” to “Schedule 4 to this Act” and in subsection (5) the figures “6(3)”. In section 37(1) the definition of “functions”. In Schedule 1, paragraph 8. In Schedule 2, in paragraph 6, the words from “or in any statistics” to the end. In Schedule 4, paragraph 2.
1976 c. 41.	The Iron and Steel (Amendment) Act 1976.	In section 6(1), paragraph (b).
1978 c. 41.	The Iron and Steel (Amendment) Act 1978.	The whole Act.
1981 c. 2.	The Iron and Steel (Borrowing Powers) Act 1981	The whole Act.